"Where Do We Even Start?"

Questions families ask about getting a parent's finances organized ahead of time, with plain, general answers.

Is it my place to ask? What would we even need to see? When nothing is pressing, the hardest part of getting Mom's finances organized is beginning. These are the questions that come up most at the start, answered in general terms.

None of the answers is about Mom in particular. Where a question depends on her state or her situation, the answer says so and says who to ask.

1 Where do we even start?

With a conversation, not a file box. The Consumer Financial Protection Bureau says that even if it feels awkward, an honest conversation about finances is important. After that it's one list, made together, of what Mom has, receives and owes, and one agreed place for the paperwork. None of it has to happen in a single sitting. [1]

> **ASK A PROFESSIONAL WHEN** the list exists and you'd like someone to look it over. Reviewing a family's inventory and noting what is missing is part of your Medicaid planner's role.

2 Is it my place to ask about Mom's money?

It's her information, so it's her call. Say why you're asking, and that nothing is being decided or changed. The bureau notes that a person can give a trusted relative an overview of their finances without sharing all the details, so an overview is a fine place to begin. [1]

> **ASK A PROFESSIONAL WHEN** Mom would rather talk it through with someone outside the family first. Her accountant or her attorney, if she has one, may be the person she's most comfortable with.

3 What financial information do we need to gather?

Start with what Mom owns and owes. The bureau's guide for people who manage a relative's money lists checking and savings accounts; pension, retirement, annuity, rental and other income; real estate; vehicles; insurance policies; stocks and bonds; and unpaid credit card bills and other loans. On a separate page about planning ahead, the bureau calls these papers most relevant: bank and brokerage statements, mortgage and credit information, insurance policies, pension and other retirement benefit summaries, and Social Security payment information. [2] [1]

> **ASK A PROFESSIONAL WHEN** you want to know which papers a Medicaid application in your state would call for. That's a question for your Medicaid planner or your state Medicaid office.

4 Which assets, income, insurance and property need to be included?

For now, all of them. The family's job at this step is a complete list, not a sorted one. Which items matter for Medicaid planning depends on the state and on Mom's situation. A federal overview says the assessment of a person's assets can be fairly complex, depending on how much and what kind of assets they have, and Medicare.gov sends people to their state Medicaid office for eligibility information in their state. [3] [4]

> **ASK A PROFESSIONAL WHEN** you're tempted to leave something off because it seems small, or you're not sure it's really hers. List it with a question mark and ask your Medicaid planner.

5 How much does Mom actually have available to pay for care?

It depends on the state and on her situation, and it isn't a number a family can read off a list. The federal Administration for Community Living says the cost of long-term care depends on the type and duration of care, the provider and where you live, and that public and private sources of payment each have their own rules and eligibility requirements. What you can do now is write down what she has, what comes in and what goes out, without adding it up. [5] [6]

> **ASK A PROFESSIONAL WHEN** you want that question answered for Mom. It belongs with your Medicaid planner, and with an elder law attorney or a licensed financial professional for the legal and financial parts.

6 Why list her insurance policies along with her accounts?

Because insurance is one of the private ways care may be paid for, and policies differ. The Administration for Community Living notes that private sources of payment have their own rules, eligibility requirements, copayments and premiums, and Medicare.gov says long-term care insurance can vary widely. So the useful note is that a policy exists, which company issued it and where it is kept. [6] [4]

> **ASK A PROFESSIONAL WHEN** you want to know what a policy would actually pay for. Ask the insurance company, or a licensed insurance professional.

7 Who should take part?

Mom first, and then whoever she wants in the room: a spouse, the child who lives nearest, the one who is good with paperwork. AARP's checklist for caregivers suggests writing down everyone's responsibilities. The written plan isn't a legal document, it says, but it can clarify everyone's roles and reduce the risk of misunderstandings. [7]

> **ASK A PROFESSIONAL WHEN** someone other than Mom is going to start handling her money for her. Ask an elder law attorney what that takes before anyone begins.

8 Do I need her passwords, or my name on her accounts?

Not to make a list. The list needs names and where the paper is kept, not logins. If Mom wants someone to see her statements, the bureau describes one arrangement: she asks her bank or broker to send a copy to a daughter or an accountant. Putting a name on an account is a different matter, because the bureau explains that a joint account and a convenience account differ in who owns the money. [8]

> **ASK A PROFESSIONAL WHEN** Mom is thinking about adding someone to an account or changing whose name is on anything. That's a conversation for her and an elder law attorney first.

9 Where should we keep it all, and who should know?

Somewhere safe that the right people can reach. The bureau suggests a safe, easily accessible location, and either giving copies to trusted loved ones or letting them know where to find the documents. AARP gives everyday examples, a designated desk drawer or a binder in an office closet, and adds that family members should know where the documents are. [1] [7]

> **ASK A PROFESSIONAL WHEN** you're not sure where an original, such as a deed or a policy, ought to be kept. Ask the office or company that issued it.

10 How do we keep it from going out of date?

Add to it as things change. The bureau's advice is to keep the information as current as possible when something changes, such as a new account, and AARP suggests adding new statements as they arrive. The Family Caregiver Alliance's one-page papers form has a line for the date it was prepared, which is a habit worth borrowing: put a date on the list each time you update it. [1] [9] [10]

> **ASK A PROFESSIONAL WHEN** something changes after a professional has seen the list, such as a sale or a new account. Tell whoever is working from it.

What this guide doesn't do

It doesn't answer any question about Mom's own finances. Anything that depends on her state, her accounts or how something is owned needs a professional who knows her situation. Nothing here is legal, financial or tax advice.

Ready for the next step?

You have plain answers to the general questions, and you know which ones belong to a professional. The planning interview is where the questions become about your family: it asks about your situation step by step and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Consumer Financial Protection Bureau, Planning for diminished capacity and illness
2. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
3. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
4. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
5. Administration for Community Living (LongTermCare.gov), Costs of Care
6. Administration for Community Living (LongTermCare.gov), Who Pays for Long-Term Care?
7. AARP, Legal Checklist for Caregivers With Aging Parents
8. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options
9. AARP, 5 Steps to Organize Your Loved One's Financial Records
10. Family Caregiver Alliance, Where to Find My Important Papers